The fog of war

While macroeconomic/financial crises are not two-week affairs, they unfold at a rapid pace when compared with the delays of the statistical system. As an example, through calendar year 2008, when the world economy and the Indian economy were losing momentum, policymakers had relatively little information about the state of the economy in calendar year 2008 itself.

In a crisis, the noise in the media is deafening. Many policy initiatives are taken, which will impact upon the system, but in ways that are not yet fully known. These three factors—the noise in the media, the policy actions that have yet to play out, and the delays in data release—come together to induce a 'fog of war'. In the midst of a crisis, it is difficult to know what is going on.

Financial markets are a key source of *information* in a crisis. Asset prices are forward-looking and suffer from no delay in data release. Financial markets produce important derived information systems such as the implied volatility. To the extent that deep and liquid markets continue to function efficiently, in the storm, this is a valuable tool for information gathering by policymakers.

Alongside this, financial market *participants* have a great deal of knowledge. The precise difficulties in various financial markets and instruments, the sites in the system of asset pricing where arbitrage and liquidity are breaking down—these are pregnant with insights into understanding and solving the crisis. Policymakers should exploit the rich information that comes out of modern financial markets, and have deep human connections into financial market participants so as to generate the level of trust required for candid conversations. These benefits, however, only accrue when there have been years of development of liquidity and market efficiency in the financial markets. In India, we have seen a stream of regulatory actions that retard market quality, and thus reduce the usefulness of information derived from financial markets.